

HARLEY-DAVIDSON: OUTSIDE IN • PART 3 OF 4

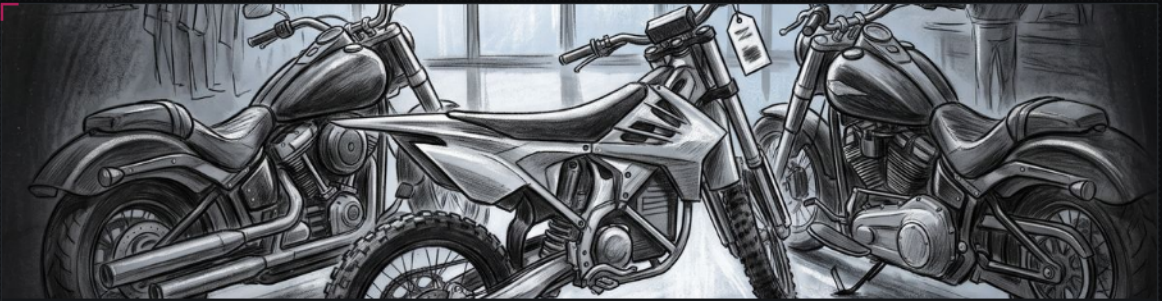
TOO SMALL TO SAY.

Alta Motors, which Harley never put a number on. StaCyc, the one purchase that hit every target it was given. Together, what Harley actually wanted from electric.



HARLEY-DAVIDSON: OUTSIDE IN • THE ROUTE

FOUR PARTS. ONE THESIS.



BRISBANE, CALIFORNIA, 2018

Brisbane, 2018. An Alta on a Harley floor, one of 44 dealers that carried it. Six months later the building was empty.

PART 1 OF 4

THE RECORD

Sixteen moves in one table. Brands go. Channels stay.

PART 2 OF 4

SAME SENTENCE

Buell, MV Augusta, and the words used both times.

PART 3 OF 4 • THIS POST

TOO SMALL TO SAY

Alta, never disclosed. StaCyc, \$14.9M, 33 to 1.

PART 4 OF 4

THE SPRINT & THE FINAL WORD

1960: an Aermacchi. 2026: a Hero. What it was for.

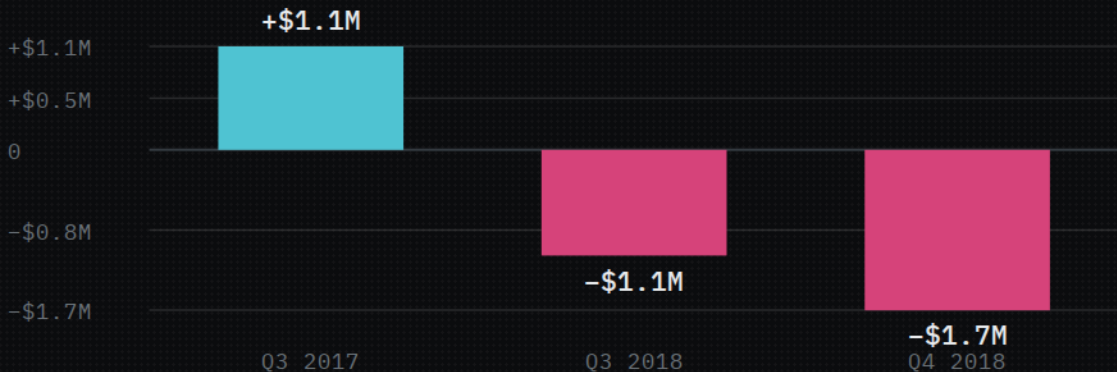
1 MARCH 2018

“Alta has demonstrated innovation and expertise in EV and their objectives align closely with ours.”

MATT LEVATICH, CEO · H-D RELEASE

No amount. No percentage. The Q1 2018 earnings release is the **only Harley-Davidson SEC filing that has ever contained the word “Alta.”** One sentence: “Invested in a collaborative agreement with Alta Motors.”

SEARCH EVERY 10-Q AND 10-K, 2018-19. NO EQUITY INVESTMENT. NO WRITE-OFF. ONE FOOTPRINT.



“Investment (loss) income” ran at about +\$1M a quarter and went negative the two quarters after Alta. No filing attributes the swing. *Inferred, not documented.*

ALTA'S OWN PAPERWORK BOUNDS IT · FASTER FASTER, INC. · CIK 1620298

FILED	OFFERING	SOLD	INVESTORS
7 Mar 2016	\$7.0M convertible notes	\$1.77M	18
2 Jun 2017	\$26.1M equity	\$12.4M	42
3 Jul 2017	\$20.3M equity + debt	\$15.2M	24
5 Feb 2018	Same round, closed	\$20.84M	30
13 Aug 2018	\$5.0M bridge note	\$2.45M	4

The round Harley joined closed by amendment on **2 February 2018**, four weeks before the announcement. Since July it had grown by **\$5.65M** and **six investors**. No Form D reports an equity sale after that.

If Harley's money is in that round, the check was inside **\$5.65M**. Inferred. Harley has never said.

SIX MONTHS, ON THE CALENDAR

2 FEB 2018	Alta closes its equity round at \$20,843,998.
1 MAR 2018	Harley announces the investment. "We intend to be the world leader in the electrification of motorcycles."
27 JUL 2018	Alta starts selling a \$5.0M bridge note. Four investors, \$2.45M.
29 AUG 2018	Asphalt & Rubber, sourced: Harley is out. No company statement.
5 SEP 2018	Harley announces its own Silicon Valley EV R&D facility: "battery, power electronics, and e-machine design." Alta's specialty.
17 OCT 2018	Alta ceases operations.
20 FEB 2019	BRP buys the IP. "No interest in restarting operations."

ALTA IS THE CLEANEST CASE IN THE TABLE.

Harley wanted the technology without the partner. It paid a sum too small to disclose to find out what it needed, opened its own lab a week after the split leaked, and built the rest in-house.

Six months. One press release. No number.
That is what a cheap option looks like from the outside.

Alta's co-founder has his own account of what Harley took with it. It is in the brief, on the record, unverified, with a disclosure.



\$799

STARTING PRICE. THE ONLY LIVEWIRE
SEGMENT THAT MAKES MONEY

STACYC · 4 MARCH 2019 · Q1 2019 10-Q

TOTAL CONSIDERATION

\$14.9M

\$7.0M CASH AT CLOSE

GOODWILL · INTANGIBLES

\$9.5M · \$5.3M

GOODWILL TAX-DEDUCTIBLE

EARN-OUT, MAX

\$6.54M

THREE VOLUME MILESTONES

EARN-OUT, PAID

\$6.54M

\$2.18M × 2020, 2021, 2022

Harley's filing never explains the other
\$7.9M. LiveWire's carve-out statements do.
StaCyc hit every volume target it was given.



WHAT IT WAS BOUGHT FOR

A \$799 balance bike. Harley hopes the kid becomes a rider some day; the parent is the customer today.

WHAT IT WAS BOUGHT FOR • THEIR WORDS

“The StaCyc team shares the same vision we have for building the next generation of riders globally.”

HEATHER MALENSHEK, SVP MARKETING AND BRAND • 5 MAR 2019

“Kids who are enjoying two-wheeled freedom with their families, connecting through Harley-Davidson dealerships and events. Starting at \$649.”

MATT LEVATICH • Q1 2019 CALL

Not electrification. The next customer.

2025: THIRTY-THREE STACYCS FOR EVERY LIVEWIRE MOTORCYCLE



Revenue: \$6.1M motorcycles, **\$19.6M StaCyc**, 76% of LiveWire's product revenue, from a \$14.9M purchase of a company that makes \$649 balance bikes for three-year-olds.



EAGLEMARK, 1993

The finance desk. Two-thirds of the loans written here for the next five years are already sold.

THE OLDER PRECEDENT · EAGLEMARK, 1993–1995

JAN 1993 · 49%

\$10M

10-K FY1994

\$55M for the business that became HDFS, made **\$248M** in 2024, and that KKR and PIMCO paid 1.75× book for a tenth of in 2025.

NOV 1995 · THE REST

~\$45M

10-K FY1996

The two outside purchases that were kept and made money are the two that make money on somebody else's product on a Harley dealer's floor. Neither has ever been asked to build a motorcycle.

NEXT • PART 4 OF 4

THE SPRINT, AND THE FINAL WORD.

1960: an Aermacchi. 2026: a Hero. The same hole below the big twin, and somebody else's engine in it both times. Seven CEOs, one cycle, and what every purchase was for.

FULL BRIEF, EVERY
SOURCE LINKED:
CONTACTPATCHADVISORY.COM/GROUNDTRUTH/03/